Hungary: energy security, economic opportunity and partnership priorities

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AI-generated from the data and checked against it; paper baseline as of 12 October 2026.

Summary

- 12 of Hungary's 30 placed sectors sit in the two low-energy-security corners; against other economies, its Energy Security is lowest in downstream coal, upstream gas and downstream wind.[1]
- Its openings are broad: 17 placed sectors sit in the two high-opportunity corners, and its Economic Opportunity is highest in midstream electric vehicles, midstream batteries and upstream nuclear.[1]
- The Strategic Index ranks upstream batteries 1st among Hungary's own sectors. When data-based priority is set against policy activity, upstream batteries and midstream solar combine top priority with the most policy, and no sector combines top priority with the least policy.[1]
- The Partnership Strength Index rates Germany highest for Hungary, as an export market. Germany is also its 1st trade partner, while China and Russia, its 3rd and 4th, rank 44th and 70th on Partnership Strength.[1,2]

1. Energy security risks and why

12 of Hungary's 30 placed sectors, those whose scores can both be compared with other economies, sit in the two low-energy-security corners, against 17 in the two high-opportunity corners. Energy Security measures how well a country can rely on what it needs in a sector, from own production and reserves to import needs; higher means more secure.[1]

Against other economies in the same sector, its Energy Security is lowest in downstream coal, upstream gas and downstream wind. It scores 0.38, 0.26 and 0.37 there, higher than only 11%, 11% and 13% of the other economies scored in each sector. Of these, downstream coal and downstream wind sit in the Secure corner, which pairs low energy security with low opportunity.[1]

In downstream coal, the score is low mainly because of energy access: consumption per person changed by -76.8% in the years to 2025. On that measure it scores higher than only 5% of the other economies.[1,3]

Hungary's high-priority sectors in Country Insights are those in the Upgrade corner, which pairs low energy security with high opportunity: upstream solar, upstream gas and upstream oil. In upstream gas, the score is pulled down mainly by reserves and trade. Its gas reserves are not reported by the source, which the index counts as zero: its reserves score is 0.00, against a median of 0.18. Its trade deficit in these goods was 1.9% of GDP in 2023. For context, its largest suppliers in 2024 were Russia (74.8% of its imports) and Serbia (14.4%).[1,2,4]

In upstream oil it scores 0.41, higher than 45% of the other economies scored, and its reserves score is also 0.00. For context, Russia supplied 56.3% of its imports in 2024.[1,2]

2. Economic opportunities and why

Hungary's openings are broad: 17 of its placed sectors sit in the two high-opportunity corners. Economic Opportunity measures how well placed a country is to create value in a sector, from exports and market share to investment, costs, demand and related capabilities.[1]

Against other economies in the same sector, its Economic Opportunity is highest in midstream electric vehicles, midstream batteries and upstream nuclear, higher than 97%, 96% and 95% of the other economies scored. All of them sit in the Grow corner.[1]

In midstream electric vehicles, investment pushes the score up most: on annual investment and on growth in investment it scores higher than 98% and 99% of the other economies. For context, it exported USD 22.4 bn of these goods in 2024, 37.5% of them to Germany.[1,2]

In midstream batteries, investment and trade push the score up: its share of world exports was 4.7% in 2023. In upstream nuclear, production pushes it up: on production it scores higher than 91% of the other economies.[1,4]

The paper's framework associates the Grow corner, where 14 of its sectors sit, with export promotion. It associates the Upgrade corner, where 3 sit, with building domestic capability, a posture RMI (2025) calls leapfrogging.[1]

3. Sectoral priorities and the existing policy posture

The Strategic Index ranks a country's own sectors by opportunity, security need, policy activity, stage and low-emission value. Among Hungary's own sectors, it ranks upstream batteries 1st (0.65), 0.015 ahead of the next. Next come upstream wind (2nd), upstream electric grid (3rd), upstream solar (4th) and downstream wind (5th), each almost tied with the sector below it.[1]

Hungary's allied pick in the network design is midstream nuclear (0.61), ranked 7th and almost tied with the runner-up, midstream wind (0.002 apart). The pick is Hungary's first upstream or midstream sector on the Strategic Index after a resource-base screen. The upstream sectors ranked above it, upstream batteries, upstream wind, upstream electric grid and upstream solar, are screened out because no resource base is recorded for them.[1,5]

Country Insights splits the sectors into thirds by data-based priority (the Strategic Index without its policy term) and again by policy activity. On that comparison, upstream batteries and midstream solar combine top priority with the most policy, and no sector combines top priority with the least policy. At the other end, downstream geothermal and downstream green hydrogen combine bottom priority with the most policy. The 7 sectors that combine bottom priority with the least policy include every coal and oil sector.[1]

The Climate Action Tracker rating that Hungary carries is "Insufficient" (November 2024). Hungary has 156 International Energy Agency Policies and Measures records, 75 of which name a technology.[6,7]

4. Partnership priorities and why

The Partnership Strength Index scores partners in energy supply chains as reliable suppliers (Friendshore), export markets (Partnership Opportunity) and development partners (Development Potential). It rates Germany highest for Hungary (0.96), as an export market, strongest in midstream batteries, midstream electric vehicles, midstream solar, midstream wind and midstream electric grid.[1]

The Czech Republic ranks 2nd, scoring best as a reliable supplier, and the Slovak Republic 3rd, scoring best as an export market. The United States (4th) and Austria (5th) follow, each scoring best as a reliable supplier.[1]

Today's trade matches part of this ranking. On average across its energy-goods baskets, Germany is Hungary's 1st trade partner and the Slovak Republic its 2nd. Austria is its 8th, the United States its 10th and the Czech Republic only its 11th. All of them vote in the same bloc as Hungary at the UN.[1,2,8]

The reverse cases are China and Russia, its 3rd and 4th trade partners, which rank 44th and 70th on Partnership Strength. In UN votes, both sit in opposite blocs to Hungary.[1,2,8]

As a partner to the coalition, Hungary ranks 20th of 192 economies. In the allied network design it produces within the EU, and its largest derived share is 2.2% of designed coalition production in midstream batteries.[1,5]

5. Data notes and caveats

Values are as of 12 October 2026; Country Insights has more.

- Scores compare Hungary with other economies in the same sector; they are not measures of risk or profit in absolute terms.
- All index values are the paper's baseline as of 12 October 2026; Strategic Insights recomputes them under other weightings.
- Some figures behind these scores are filled in where the source has no value: with zero where a source lists every holder, otherwise with the world average.
- Strategic Index scores within 0.01 of each other are almost tied: small changes in the data or the weights can swap their order.
- Many allied picks are close calls: in the paper, 37% of them are within 0.01 of the runner-up.
- The Climate Action Tracker rates the EU as a whole; Hungary carries the EU's rating.
- Hungary's counts leave out the EU's own 438 International Energy Agency policy records.
- Trade figures count trade with other EU members.
- In the allied network design the European Union is one producer; Hungary's shares are derived from its weight within the EU.

Sources

1. Energy Security, Economic Opportunity, Strategic Index and Partnership Strength Index, paper baseline (Opportunity Security Indices pipeline); CC BY 4.0 (the paper's indices).
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5. Allied network design (the paper's model design of coalition production shares).
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